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KSE-100 **V**

173,636

▼ 0.97% Mon ·
-1,693 pts

S&P 500 **V**

▼ **0.38%**

Nasdaq -0.29% ·
Dow -0.51% (Fri;
US shut Mon)

US 10Y / 2Y **V**

4.78 / 4.37

Warsh hawkish ·
hike bets firm

BRENT / WTI **V**

\$97.3 / \$92.4

OPEC+ holds Oct
quotas · Hormuz
risk

GOLD **V**

\$4,405

-0.5% · silver \$66.9

USD/PKR **V**

277.40

interbank · little
changed

01 Five Things You Need To Know To Start Your Day

KSE-100 SLIDES NEARLY 1%

The benchmark shed **1,692.75 points (0.97%)** to close at 173,636.07 on Monday, swinging from an intraday high of 175,353.67 to a low of 173,603.75 as selling accelerated into the close. Volume fell to 679.19 million shares worth Rs23.69bn, and breadth turned decisively negative at 154 advancers to 311 decliners (30 unchanged). **UBL, OGDC, PPL, MCB and FFC** dragged the index down roughly 811 points; PSEL, AKBL and AICL added a combined 117 points. Topline Securities cited “renewed US-Iran geopolitical tensions and elevated international oil prices, raising concerns over inflationary pressures, the external account, and overall macroeconomic stability.” Sources: [Business Recorder](#), [The Nation](#). Sentiment: **risk-off close**.

HORMUZ TENSIONS ESCALATE FURTHER

Iran struck Kuwait with missiles and drones in early September in retaliation for US strikes on Iranian rocket launchers in the Strait of Hormuz, and CENTCOM confirmed US forces struck the Iranian crude tanker **M/T Kylo** in the Gulf of Oman on 5 September. Traffic through the strait — which carried roughly 20% of global oil supply before the war — remains under threat, keeping a war-risk premium bid under Brent near **\$97.3/bbl**. Sources: [Washington Post](#), [USNI News](#). Sentiment: **escalating supply risk**.

FED CHAIR WARSH'S HAWKISH PIVOT

Fed Chair Kevin Warsh sharpened his inflation warning at Jackson Hole on 28 August, recommitting to the 2% PCE target and arguing recent readings — PCE at 3.7% y/y — do not show underlying trends have meaningfully improved. CME FedWatch now prices roughly a **58–60% probability** of a 25bp hike at the 16 September FOMC, up from near-56% a week earlier, setting up a showdown with the White House's push for lower rates. Sources: [CNBC](#), [Bloomberg](#). Sentiment: **hawkish repricing**.

OPEC+ HOLDS OCTOBER QUOTAS STEADY

The seven-country OPEC+ core group, led by Saudi Arabia and Russia, agreed on Sunday 6 September to keep October output quotas unchanged, sticking to its existing roadmap through year-end as it prepares a capacity assessment ahead of setting 2027 quotas. Gulf non-oil momentum stayed resilient despite the war backdrop: UAE's PMI rose to **55.3** in August, its fastest pace since December 2024, and Saudi's PMI hit a six-month high of **53.8**. Sources: [Bloomberg](#), [The National](#). Sentiment: **steady supply, resilient non-oil**.

PAKISTAN CPI STAYS IN DOUBLE DIGITS

August CPI held at **11.1% y/y**, up from 9.2% in July, with urban inflation at 10.4% and rural at 12.2% on higher food, transport and communication costs. The SBP has held its policy rate at 11.5% for a second straight meeting since July, while 6-month KIBOR sits at 11.86%. The IMF's fourth EFF and third RSF review mission is expected in Pakistan this month, with the country on track to meet six of seven quantitative performance criteria. Sources: [Business Recorder](#), [ProPakistani](#). Sentiment: **inflation elevated, IMF review looms**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's tape turned sharply risk-off on Monday: the KSE-100 shed 1,692.75 points (0.97%) to close at 173,636.07, its worst session in weeks, as renewed Iran-Kuwait strikes and a firmer oil tape stoked fears over the external account and inflation. Breadth was decisively negative at 154 advancers to 311 decliners, with heavyweight banks and E&P names UBL, OGDC, PPL, MCB and FFC dragging the index down roughly 811 points as refining-sector penalties for missing the 1 October upgrade-deal deadline added sector-specific pressure. August CPI held in double digits at **11.1% y/y**, the SBP's policy rate stays at 11.5%, and USD/PKR interbank held little changed near 277.40. The IMF's fourth EFF review mission is expected this month, with Pakistan on track to meet six of seven quantitative targets. Sources: [Business Recorder](#), [ProPakistani](#).

B. GCC & Middle East

Gulf non-oil momentum stayed resilient despite the conflict backdrop: the UAE's S&P Global PMI rose to **55.3 in August** from 52.7, its fastest pace since December 2024, while Saudi Arabia's Riyadh Bank PMI climbed to a six-month high of **53.8**. OPEC+'s seven core members agreed on Sunday 6 September to hold October quotas steady, sticking with their existing roadmap into year-end while preparing a capacity assessment ahead of setting 2027 targets — a decision playing out against a firmer oil tape, with Brent near \$97.3/bbl on renewed Iran-Kuwait strikes. Saudi's PIF, meanwhile, launched the Gulf Coast Development Company on 7 September to deliver an integrated coastal destination at Al-Khafji, part of its board-approved 2026–2030 strategy prioritising tourism, travel and domestic ecosystem investment under Vision 2030. Sources: [Arab News](#), [PIF](#).

C. Global Intelligence

US markets were shut Monday for Labor Day, so Friday's hot-jobs-driven selloff carries into today's open — the S&P 500 fell 0.38% to 7,718.60, the Dow lost 0.51% and the Nasdaq eased 0.29%, with the 10-year Treasury at 4.78% and the 2-year at 4.37%. Fed Chair Kevin Warsh sharpened his inflation warning at Jackson Hole on 28 August, and CME FedWatch now prices a roughly 58–60% probability of a hike at the 16 September FOMC. The other swing factor is the Middle East: continued US-Iran strikes, including a 5 September US strike on the Iranian tanker M/T Kylo, keep Hormuz risk elevated and Brent within reach of \$100/bbl. Gold eased 0.5% to \$4,405/oz on the firmer-dollar, hawkish-Fed backdrop. Sources: [Washington Post](#), [CNBC](#).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Petroleum Division's brownfield refinery policy penalises refiners that fail to sign upgradation agreements by 1 October 2026, with Attock Refinery alone facing Rs7.5m/day in delay penalties.	Oil refining, downstream fuel retail, energy majors	Wins: Refiners signing on time see their deemed duty on diesel step down to zero by 15 November, unlocking part of the policy's targeted \$6bn upgrade investment. Losses: Refiners delaying signature face escalating daily penalties and margin pressure, adding to Monday's sector-wide selloff on PSX.
Regional — GCC	OPEC+'s seven core members held October production quotas steady at their 6 September meeting, maintaining the existing roadmap while preparing a capacity assessment for 2027 targets.	Oil & gas majors, Gulf shipping/insurance, non-oil private sector	Wins: Saudi Arabia (PMI 53.8) and UAE (PMI 55.3) non-oil sectors, which extend multi-month growth highs on quota discipline and a firm oil tape. Losses: Gulf shippers, insurers and energy importers exposed to a rising Hormuz risk premium as Brent holds near \$97.3/bbl.
Global	The Fed's 16 September FOMC meeting looms with hike odds near 58–60% on CME FedWatch after Chair Kevin Warsh's hawkish Jackson Hole inflation warning.	Rate-sensitive equities, EM currencies (incl. PKR), energy majors	Wins: The dollar and short-end yields, which stay firm on hike repricing; energy majors benefiting from a rising Brent/WTI complex. Losses: Rate-sensitive equities and EM currencies, including the PKR, which face tighter-for-longer risk if the Fed hikes in September.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

173,600

Monday's intraday low (173,604); deeper support at 172,500

PIVOT EST.

173,636

Monday's close

RESISTANCE EST.

175,350

Monday's intraday high (175,354); then 176,000

Monday's 811-point drag from **UBL, OGDC, PPL, MCB and FFC** against a thin 117-point offset from PSEL, AKBL and AICL, alongside breadth of 154 advancers to 311 decliners and falling volume (679m shares vs 874m Friday), points to genuine distribution rather than a technical pullback. The index gave up the entire intraday range from a 175,354 high to a 173,604 low, and the proximate triggers — renewed Iran-Kuwait strikes, a firming Brent near \$97.3/bbl, and fresh refinery-sector penalties tied to the 1 October upgrade deadline — are unlikely to resolve quickly. Offshore, Fed Chair Warsh's hawkish Jackson Hole pivot has lifted 16 September hike odds to near 60%, a headwind for EM currencies including the PKR just as August CPI held at 11.1% and the IMF's fourth EFF review mission arrives this month. We'd trim broader beta and refining-sector exposure into the FOMC and any fresh Hormuz escalation, while staying selectively constructive on banks and E&P names that benefit from a firmer oil tape. All levels are indicative desk estimates, not recommendations.

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